



Argo Global Listed Infrastructure Limited

ABN 23 604 986 914

Appendix 4D

Half-year Report
for the period ended 31 December 2020
(previous corresponding period being
the half-year ended 31 December 2019)

RESULTS FOR ANNOUNCEMENT TO THE MARKET HALF-YEAR ENDED 31 DECEMBER 2020

(Comparative figures being the half-year ended 31 December 2019)

				2020 \$A'000	2019 \$A'000
Investment income (loss)	down	117.7%	to	(4,486)	25,342
Loss/profit for the half-year	down	134.2%	to	(5,396)	15,792

Dividend

Interim fully franked dividend payable 26 March 2021 (previous corresponding period 3.0 cents fully franked)	3.5 cents
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The Company's Dividend Reinvestment Plan will operate for the interim dividend. Shares issued under the DRP will be allocated based on the volume weighted average ex-dividend market price of the shares traded on the record date and the three business days following the record date.

The DRP Terms and Conditions can be accessed at the Company's website at www.argoinfrastructure.com.au.

The record date for determining entitlements to the interim dividend	8 March 2021
The election date for determining participation in the Dividend Reinvestment Plan	9 March 2021

Final fully franked dividend for year ended 30 June 2020 paid 2 October 2020	4.5 cents
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Net Tangible Asset (NTA) Backing

	31 December 2020	31 December 2019
NTA per share ¹	\$2.16	\$2.57
NTA after unrealised tax provision ²	\$2.17	\$2.46

1. This figure allows for all costs incurred, including company tax and any tax payable on gains realised from portfolio sales.
2. Under ASX Listing Rules, the Company is also required to calculate the NTA per share after providing for estimated tax on unrealised gains/losses in the portfolio (tax that may arise should the entire portfolio be disposed of on the above date).





Argo Global Listed Infrastructure Limited

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Half-year Report
31 December 2020

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for the half-year ended 31 December 2020

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Directors' Report

The Directors of Argo Global Listed Infrastructure Limited (ALI or Company) present their report together with the financial statements of the Company for the half-year ended 31 December 2020.

DIRECTORS

The following persons were Directors of the Company during the period and up to the date of this report:

Russell Allan Higgins AO, Chairman	Non-independent Director (appointed 1 July 2018)
Jason Beddow	Non-independent Director (appointed 26 March 2015)
Mark James Henty Hall	Independent Director (appointed 6 December 2019)
Joycelyn Cheryl Morton	Non-independent Director (appointed 26 March 2015)
Andrea Elizabeth Slattery	Independent Director (appointed 27 April 2015)

PRINCIPAL ACTIVITIES AND STATE OF AFFAIRS

The Company is a listed investment company established to provide investors with the opportunity to invest in a diversified portfolio of listed global infrastructure securities, with the primary objective of providing shareholders with long-term capital growth and dividend income.

The Company's registered office and principal place of business is Level 25, 91 King William Street, Adelaide SA 5000.

REVIEW OF OPERATIONS

The Company recorded a loss after tax of \$5.4 million for the period to 31 December 2020, compared with a \$15.8 million profit in the previous corresponding period. The loss for the period was primarily due to a fall in valuations of investments in the portfolio as a result of the economic effects of the COVID-19 pandemic. The Company generates operating revenue from dividends and distributions received from the investments in its portfolio. In addition to this operating income, ALI's reported profit or loss includes gains and losses resulting from the sale of investments during the period and the revaluation to market value of the investments which are held at the end of the accounting period. This element of income is more volatile, as the whole portfolio is revalued at each period end, producing movements due to fluctuations in markets and currencies.

In September 2020, the Company's first Share Purchase Plan raised \$23.2 million in additional funds for investment in global listed infrastructure securities.

Net tangible asset (NTA) backing per ordinary share at 31 December 2020 pre-tax was \$2.16 compared with \$2.27 as at 30 June 2020 and \$2.57 as at 31 December 2019. The NTA backing per ordinary share at 31 December 2020 post-tax was \$2.17, compared with \$2.26 as at 30 June 2020 and \$2.46 as at 31 December 2019. The post-tax figures take into account the provision for deferred tax on set up costs and estimates of net tax provisions that would arise if the entire portfolio were disposed of at the end of the reporting period.

DIVIDENDS

A fully franked final dividend of 4.5 cents per share for the year ended 30 June 2020 was paid on 2 October 2020.

On 22 February 2021, the Directors declared a fully franked interim dividend of 3.5 cents per share (2020: 3.0 cents per share fully franked) to be paid on 26 March 2021.

MATTERS SUBSEQUENT TO THE END OF THE INTERIM PERIOD

The Directors are not aware of any other matters or circumstances that have arisen since the end of the financial period which have significantly affected or may significantly affect the Company's operations, the results of those operations or the Company's state of affairs in future financial years.

ROUNDING OF AMOUNTS

Australian Securities and Investments Commission Corporations (Rounding in Financial/Directors' Reports) Instrument 2016/191 applies to the Company and accordingly amounts have been rounded to the nearest one thousand dollars in accordance with that Instrument, unless otherwise stated.

AUDITOR'S INDEPENDENCE DECLARATION

The Auditor's Independence Declaration as required under section 307C of the *Corporations Act 2001*, is included on page 4.

This report is made in accordance with a resolution of the Board of Directors.

On behalf of the Board



R.A. Higgins AO
Chairman
Sydney
22 February 2021



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Auditor's independence declaration to the Directors of Argo Global Listed Infrastructure Limited

As lead auditor for the review of the half-year financial report of Argo Global Listed Infrastructure Limited for the half-year ended 31 December 2020, I declare that to the best of my knowledge and belief, there have been:

- (a) No contraventions of the auditor independence requirements of the *Corporations Act 2001* in relation to the review; and
- (b) No contraventions of any applicable code of professional conduct in relation to the review.

Ernst & Young

Ernst & Young

A handwritten signature in black ink, appearing to read 'Rohit Khanna', is written over a horizontal line.

Rohit Khanna

Partner

22 February 2021

Statement of Profit or Loss and Other Comprehensive Income

for the half-year ended 31 December 2020

	Note	2020 \$'000	2019 \$'000
Investment income			
Dividends and distributions		4,491	5,130
Interest		5	1
Net foreign exchange (losses)/gains		(139)	10
Net changes in fair value of financial assets at fair value through profit or loss (realised and unrealised)		(8,843)	20,201
Total investment income (loss)		(4,486)	25,342
Expenses			
Management fees		(1,967)	(2,142)
Custody and administration fees		(126)	(139)
Directors' fees		(87)	(73)
Registry fees		(76)	(85)
Transaction costs		(134)	(142)
Other expenses		(201)	(215)
Total expenses		(2,591)	(2,796)
(Loss)/profit before income tax		(7,077)	22,546
Income tax benefit/(expense)		1,681	(6,754)
(Loss)/profit after income tax		(5,396)	15,792
Other comprehensive income		-	-
Total comprehensive (loss)/income for the half-year		(5,396)	15,792
		cents	cents
Earnings per share			
Basic and diluted earnings per share	2	(3.69)	11.14

(to be read in conjunction with the accompanying notes)

Statement of Financial Position

as at 31 December 2020

	Note	31 December 2020 \$'000	30 June 2020 \$'000
Current Assets			
Cash and cash equivalents		5,165	5,169
Receivables		750	944
Receivables – trade settlements		4,306	3
Current tax asset		388	-
Financial assets at fair value through profit or loss	3	326,328	324,340
Total Current Assets		336,937	330,456
Non-Current Assets			
Deferred tax asset		460	-
Total Non-Current Liabilities		460	-
Total Assets		337,397	330,456
Current Liabilities			
Payables		422	432
Payables – trade settlements		5,110	-
Current tax liability		-	7,860
Financial liabilities at fair value through profit or loss	4	6	-
Total Current Liabilities		5,538	8,292
Non-Current Liabilities			
Deferred tax liability		-	1,686
Total Non-Current Liabilities		-	1,686
Total Liabilities		5,538	9,978
Net Assets		331,859	320,478
Equity			
Contributed equity	5	302,560	279,395
Profit reserve		43,340	49,728
Retained earnings		(14,041)	(8,645)
Total Equity		331,859	320,478

(to be read in conjunction with the accompanying notes)

Statement of Changes in Equity

for the half-year ended 31 December 2020

	Note	Contributed equity \$'000	Profit reserve \$'000	Retained earnings \$'000	Total \$'000
Balance as at 1 July 2020		279,395	49,728	(8,645)	320,478
Total comprehensive income for the half-year		-	-	(5,396)	(5,396)
Dividend paid	6	-	(6,388)	-	(6,388)
Share purchase plan	5	23,218	-	-	23,218
Cost of share issues	5	(53)	-	-	(53)
Balance as at 31 December 2020		302,560	43,340	(14,041)	331,859

for the half-year ended 31 December 2019

	Note	Contributed equity \$'000	Profit reserve \$'000	Retained earnings \$'000	Total \$'000
Balance as at 1 July 2019		278,431	59,649	668	338,748
Total comprehensive income for the half-year		-	-	15,792	15,792
Dividend paid	6	-	(5,662)	-	(5,662)
Dividend reinvestment plan	5	964	-	-	964
Balance as at 31 December 2019		279,395	53,987	16,460	349,842

(to be read in conjunction with the accompanying notes)

Statement of Cash Flows

for the half-year ended 31 December 2020

	2020 \$'000	2019 \$'000
Cash flows from operating activities		
Proceeds from sale of financial instruments at fair value through profit or loss	105,947	108,516
Purchase of financial instruments at fair value through profit or loss	(115,957)	(96,197)
Net foreign exchange loss	(45)	(9)
Interest received	5	2
Dividends and distributions received	4,725	5,543
GST recovered	222	228
Management fees paid	(1,947)	(2,137)
Custody fees paid	(148)	(159)
Other expenses paid	(2,472)	(1,495)
Income tax paid	(7,017)	(8,729)
Net cash (outflow)/inflow from operating activities	(16,687)	5,563
Cash flows from financing activities		
Dividend paid	(6,388)	(4,698)
Share purchase plan	23,218	-
Cost of share issues	(53)	-
Net cash inflow/(outflow) from financing activities	16,777	(4,698)
Net increase in cash and cash equivalents	90	865
Cash and cash equivalents at the beginning of the half-year	5,169	5,680
Effect of foreign currency exchange rate changes on cash and cash equivalents	(94)	19
Cash and cash equivalents at the end of the half-year	5,165	6,564

Contents of the Notes to the Financial Statements

for the half-year ended 31 December 2020

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Notes to the Financial Statements

for the half-year ended 31 December 2020

1. BASIS OF PREPARATION OF HALF-YEAR REPORT

The general purpose financial report for the half-year ended 31 December 2020 has been prepared in accordance with Accounting Standard AASB 134 *Interim Financial Reporting* and the *Corporations Act 2001*.

The half-year financial report does not include all the notes of the type normally included in an annual financial report. Accordingly, this half-yearly report is to be read in conjunction with the Annual Report for the year ended 30 June 2020 and any public announcements made by Argo Global Listed Infrastructure Limited (Company) during the half-year, in accordance with the continuous disclosure obligations arising under the *Corporations Act 2001*.

The accounting policies adopted are consistent with those of the previous financial year and corresponding interim reporting period.

Where appropriate, comparative disclosures have been reclassified/amended to be consistent with the current year's presentation.

The half-year financial report was authorised for issue by the Directors on 22 February 2021.

2. EARNINGS PER SHARE

	2020 number '000	2019 number '000
Weighted average number of ordinary shares on issue used in the calculation of basic and diluted earnings per share	146,426	141,747
	\$'000	\$'000
Earnings used in the calculation of basic and diluted earnings per share	(5,396)	15,792
	cents	cents
Basic and diluted earnings per share	(3.69)	11.14

3. FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS

	31 December 2020	30 June 2020
	\$'000	\$'000
Financial assets at fair value through profit or loss:		
Equity securities	293,099	279,159
Unit trusts	33,222	45,181
Derivatives	7	-
Total	326,328	324,340

The Company is a listed investment company that invests in tradeable global listed infrastructure securities. Due to the nature of its business, the Company will always be subject to market risk as it invests its capital in securities which have fluctuating market prices. The Company's portfolio is diversified to reduce risk but market risk cannot be completely eliminated.

4. FINANCIAL LIABILITIES AT FAIR VALUE THROUGH PROFIT OR LOSS

	31 December 2020	30 June 2020
	\$'000	\$'000
Financial liabilities at fair value through profit or loss:		
Derivatives	6	-

5. CONTRIBUTED EQUITY

Ordinary shareholders are entitled to receive dividends as declared and are also entitled to one vote per share at shareholders' meetings.

	2020 number	2019 number	2020 \$'000	2019 \$'000
Opening balance	141,951,785	141,539,639	279,395	278,431
Share purchase plan ⁽¹⁾	11,216,539	-	23,218	-
Cost of share issues	-	-	(53)	-
Dividend reinvestment plan	-	412,146	-	964
Closing balance	153,168,324	141,951,785	302,560	279,395

(1) On 19 October 2020, 11,216,539 shares were issued at \$2.07 per share pursuant to the Share Purchase Plan offered to eligible shareholders.

6. DIVIDENDS

Dividends are recognised during the half-year when declared.

	2020 \$'000	2019 \$'000
Dividend paid during the half-year:		
Final dividend for the period ended 30 June 2020 of 4.5 cents fully franked at 30% tax rate, paid 2 October 2020 (2019: 4.0 cents fully franked at 30.0% tax rate)	6,388	5,662
Dividend declared after balance date:		
Since the end of the financial half-year, the Directors have declared the following dividend which has not been recognised as a liability at the end of the financial year:		
Interim dividend for the year ending 30 June 2021 of 3.5 cents fully franked at 30% tax rate, payable 26 March 2021 (2020: 3.0 cents fully franked at 30.0% tax rate).	5,361	4,259

7. SEGMENT INFORMATION

The Company is managed as a whole and is considered to have a single operating segment, being investment in global listed infrastructure securities. There is no further division of the Company or internal segment reporting used by the Directors when making strategic, investment or resource allocation decisions.

The Company is domiciled in Australia and derives its revenue from its international investment portfolio through the receipt of dividends, distributions, interest and any profits on the revaluation or sale of its investments.

The portfolio of global listed infrastructure securities has the following geographical diversification:

	31 December 2020	31 December 2020	30 June 2020	30 June 2020
	A\$'000	%	A\$'000	%
United States of America	177,629	54.5	184,872	56.8
Canada	30,773	9.4	25,722	7.9
Australia	19,180	5.9	19,943	6.2
China	15,539	4.7	15,760	5.1
Spain	15,009	4.6	10,461	3.2
Other countries	68,192	20.9	67,582	20.8
Total	326,322	100.0	324,340	100.0

8. FAIR VALUE MEASUREMENT

The Company discloses fair value measurements by level of the following fair value hierarchy:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities;
- Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly; and
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

(a) Fair value in an active market (Level 1)

The fair value of financial assets and liabilities traded in active markets is based on their quoted market prices at the end of the reporting period without any deduction for estimated future selling costs. The quoted market price used for financial assets and liabilities held by the Company is the last traded price.

The Company values its investments in accordance with the accounting policies set out in Note 2 to the financial statements in the Annual Report. For the majority of its investments, the Company relies on information provided by independent pricing services for the valuation of its investments.

A financial instrument is regarded as quoted in an active market if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis.

(b) **Valuation techniques used to derive Level 2 and Level 3 fair value**

The fair value of financial assets and liabilities that are not exchange-traded in an active market is determined using valuation techniques. These include the use of recent arm's length market transactions, reference to the current fair value of a substantially similar other instrument, discounted cash flow techniques, option pricing models or any other valuation technique that provides a reliable estimate of prices obtained in actual market transactions.

Where discounted cash flow techniques are used, estimated future cash flows are based on management's best estimates and the discount rate used is a market rate at the end of the financial year applicable for an instrument with similar terms and conditions.

For other pricing models, inputs are based on market data at the end of the reporting period. Fair values for unquoted equity investments are estimated, if possible, using applicable price/earnings ratios for similar listed companies adjusted to reflect the specific circumstances of the issuer.

The fair value of derivatives that are not exchange traded is estimated at the amount that the Company would receive or pay to terminate the contract at the end of the pricing period taking into account current market conditions (volatility and appropriate yield curve) and the current creditworthiness of the counterparties. The fair value of a forward contract is determined as a net present value of estimated future cash flows, discounted at appropriate market rates as at the valuation date.

Some of the inputs to these models may not be market observable and are therefore estimated based on assumptions.

The output of a model is always an estimate or approximation of a value that cannot be determined with certainty, and valuation techniques employed may not fully reflect all factors relevant to the positions the Company holds. Valuations are therefore adjusted, where appropriate, to allow for additional factors including liquidity risk and counterparty risk.

(c) **Recognised fair value measurement**

The tables below sets out the Company's financial assets and liabilities (by class) measured at fair value according to the fair value hierarchy.

31 December 2020	Level 1	Level 2	Level 3	Total
	\$'000	\$'000	\$'000	\$'000
Financial assets				
Financial assets at fair value through profit or loss:				
Equity securities	293,099	-	-	293,099
Unit trusts	33,222	-	-	33,222
Derivatives	-	7	-	7
Total	326,321	7	-	326,328
Financial liabilities				
Financial liabilities at fair value through profit or loss:				
Derivatives	-	6	-	6

30 June 2020

Financial assets				
Financial assets at fair value through profit or loss:				
Equity securities	279,159	-	-	279,159
Unit trusts	45,181	-	-	45,181
Total	324,340	-	-	324,340

The Company's policy is to recognise transfers into and transfers out of fair value hierarchy levels as at the end of the financial year.

(i) **Transfers between levels**

There were no transfers between the levels of the fair value hierarchy for the half-year ended 31 December 2020.

(ii) **Fair value measurements using significant unobservable inputs (Level 3)**

The Company did not hold any financial instruments with fair value measurements using significant unobservable inputs during the half-year ended 31 December 2020.

(iii) **Fair values of other financial instruments**

Due to their short-term nature, the carrying amounts of receivables and payables are assumed to approximate fair value. The Company did not hold any financial instruments which were not measured at fair value in the Statement of Financial Position.

9. EVENTS SUBSEQUENT TO BALANCE DATE

No other matters or circumstances have occurred subsequent to the reporting date that have significantly affected, or may affect, the operations of the Company, the results of those operations or the state of affairs of the Company in subsequent periods.

10. CONTINGENT ASSETS, LIABILITIES AND COMMITMENTS

The Company has no material commitments, contingent assets or liabilities as at 31 December 2020.

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Directors' Declaration

In the opinion of the Directors of Argo Global Listed Infrastructure Limited (Company):

- (a) The half-year financial statements and notes set out on pages 5 to 16 are in accordance with the *Corporations Act 2001*, including:
- i. complying with Accounting Standards, the *Corporations Regulations 2001* and other mandatory professional reporting requirements; and
 - ii. giving a true and fair view of the Company's financial position as at 31 December 2020 and of its performance for the half-year ended on that date; and
- (b) There are reasonable grounds to believe that Company will be able to pay its debts as and when they become due and payable.

Signed in accordance with a resolution of the Directors.



R.A. Higgins AO
Chairman
Sydney
22 February 2021

Independent auditor's review report to the members of Argo Global Listed Infrastructure Limited

Report on the half-year financial report

Conclusion

We have reviewed the accompanying half-year financial report of Argo Global Listed Infrastructure Limited (the "Company"), which comprises the statement of financial position as at 31 December 2020, the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the half-year ended on that date, notes comprising a statement of significant accounting policies, and other explanatory information, and the directors' declaration.

Based on our review, which is not an audit, nothing has come to our attention that causes us to believe that the half-year financial report of the Company is not in accordance with the *Corporations Act 2001* including:

- (a) Giving a true and fair view of the Company's financial position as at 31 December 2020 and of its financial performance for the half-year ended on that date; and
- (b) Complying with Accounting Standard AASB 134 *Interim Financial Reporting* and the *Corporations Regulations 2001*.

Directors' responsibility for the half-year financial report

The directors of the Company are responsible for the preparation of the half-year financial report that gives a true and fair view in accordance with Australian Accounting Standards and the *Corporations Act 2001* and for such internal control as the directors determine is necessary to enable the preparation of the half-year financial report that is free from material misstatement, whether due to fraud or error.

Auditor's responsibility

Our responsibility is to express a conclusion on the half-year financial report based on our review. We conducted our review in accordance with Auditing Standard on Review Engagements ASRE 2410 *Review of a Financial Report Performed by the Independent Auditor of the Entity*, in order to state whether, on the basis of the procedures described,



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anything has come to our attention that causes us to believe that the half-year financial report is not in accordance with the *Corporations Act 2001* including: giving a true and fair view of the Company's financial position as at 31 December 2020 and its financial performance for the half-year ended on that date; and complying with Accounting Standard AASB 134 *Interim Financial Reporting* and the *Corporations Regulations 2001*. As the auditor of the Company, ASRE 2410 requires that we comply with the ethical requirements relevant to the audit of the annual financial report.

A review of an half-year financial report consists of making enquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with Australian Auditing Standards and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Independence

In conducting our review, we have complied with the independence requirements of the *Corporations Act 2001*.

Ernst & Young

Ernst & Young

Rohit Khanna
Partner
22 February 2021